

FIXED INCOME

All items exhibiting debt-like characteristics such as bonds, commercial papers, debentures, are called fixed-income assets. These are similar to giving a loan to a company. Unlike equity, here we lend a fixed amount, for a fixed time, for a fixed interest rate. It is called fixed income as all the elements and our income (interest) are fixed beforehand. All interest-bearing assets fall under the fixed income asset class. Fixed deposit is also a type of fixed income asset. Like equity, we can invest in fixed income assets directly as well as indirectly (via Mutual Funds).

